photograph of Smith, which was curiously in the Madras Office of the RBI. It was only during the Governorship of S. Venkitaramanan that the issue of Smith's portrait (based on the photograph in the Madras Office) was taken up, and it was in the tenure of his successor, C. Rangarajan, that Smith finally took his rightful place in the portrait gallery of RBI's Governors. Smith also enjoys another somewhat dubious distinction: he is the only Governor thus far never to have signed a currency note. Actually, Smith had signed a currency note but it was never issued because of the abdication of Edward VII. The king's abdication delayed the note issues of the bank and the first RBI notes were signed by his successor, Taylor.

The bank lost its Governor and Deputy Governor at the same time. Sir Sikander resigned his post effective from October 20, 1936, and returned to active politics in the Punjab. The history of the RBI tells us that there were twenty-five candidates in the race for the post vacated by Sir Sikander. The person who finally got the nod was Manilal B. Nanavati (later Sir), a Naib Dewan of Baroda State—a person with rich administrative experience in several capacities, including Registrar of Cooperative Societies, Director of Commerce and Industries, Collector, Accountant General, and Revenue Commissioner. He was an expert in agricultural economics and though the Agricultural Credit Department of the bank had been set up when the bank had been established, it was only after Manilal's arrival that it came into its own.

The vacancy which resulted from Taylor's elevation to Governor was not filled. The government felt that the interests of the Empire demanded a European Deputy Governor who was primarily a banker and a Bank of England nominee so that the RBI retained the goodwill of the Bank of England. While Taylor did make some efforts in this direction, it appears that his heart was not in it. The Viceroy wrote to the Chairman of the Bank of Scotland, but nothing came of it as a suitable candidate could not be found. In June 1937, Taylor informed the Central Board that during his last visit to England, five persons had been recommended but the services of all those considered suitable had not been spared by their principals. Since a